

mismanaged. You might purchase a top-of-the-line kitchen appliance, but you run the risk that one day it could just stop working for reasons beyond your control like an electrical circuit overload or a defective part. By making a daily commute to work driving in your car, you run the risk that someone could rear-end you even if you are following all the road rules. The list goes on. In life, people either make sure they do everything possible to minimize their risks (e.g. getting a safe car) or they avoid risk altogether (e.g. not going skydiving).

Given the potential for losses, the idea of risk deters many people from investing. Many consider investing a form of gambling—taking a chance on the unknown and hoping for the best. And they are absolutely correct. Investing is basically gambling, *if* you don't know what you are investing in, have no strategy, and aren't clear on your objectives. However, while risk cannot be completely eliminated from any portfolio, there are ways to minimize it. This means taking specific steps to reduce any adverse effects from external factors that are outside of your control but that can impact the value of your portfolio. It is essentially making sure that you don't put all your eggs in one basket.

So, what can you do to minimize risk? Here are three key steps you can take to mitigate your investment risk, in addition to the step you are taking right now, which is reading this book and getting educated on how investing works:

1. **Get clear on your why (i.e. your investment objectives).** For each investment you make, it's important that you are clear on why you are investing and when you'll need your money to meet your objectives. Two questions to ask yourself are:

Question 1: What are you investing for? Are you investing for retirement? For your kids' college education? For passive portfolio income? For a home several years from now? Knowing what you'll need the money for can guide you toward the type of investments to put your money into.

Question 2: How much time do you have to invest? If you'll need your money within the next 5 to 10 years, then it makes the most sense to take a conservative approach to investing. That's because